Safe Savings Rates

The relationship between stock market valuations and sustainable spending rates has even greater implications for retirement planning when we consider how the preretirement savings phase and the postretirement withdrawal phase can be linked through the stock market valuation level at retirement. When considered as a whole, the historical data show that, though the relationship is not perfect, the lowest sustainable spending rates (which give us our conception of the safe withdrawal rate) tend to occur after prolonged bull markets. Prolonged bear markets during the accumulation phase tend to allow for much larger spending rates in retirement. This tendency motivates a fundamental rethink of probability-based retirement planning, as worrying about the "safe" withdrawal rate combined with a "wealth accumulation target" is distracting and potentially harmful.

Rather, it is better to think in terms of a "safe savings rate" that has demonstrated success in financing desired retirement expenditures for overlapping historical periods (or with Monte Carlo simulations) including both the accumulation and distribution phases. Put another way, someone saving at his or her "safe savings rate" can expect to finance intended expenditures with as much confidence as we give the 4 percent rule (i.e., it worked in historical data), regardless of the person's actual wealth accumulation and withdrawal rate. This approach has actually supported lower withdrawal rates in recent years that are more reasonable in a low-yield, high-valuation world.

Thus far, we have focused on sustainable spending rates for retirement. It is worth taking a moment to understand how this links to preretirement savings. I define the traditional approach to retirement planning as a four-step process:

Step 1: Estimate the withdrawals needed from financial assets to pay for planned retirement expenses after accounting for Social Security, any defined-pension benefits, and other income sources. Define these planned retirement expenses as a replacement rate (RR) from preretirement salary.